

**The Rise of Passive Investing and Its Implications on Markets**

Group 2

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## **1. Introduction**

According to Investopedia, investing is an investing strategy that aims to maximize returns by minimizing the costs involved in buying and selling securities (Chen, n.d.). This strategy normally involves the buying and holding index funds that track an entire portion of the market, such as the S&P 500. With the use of such a strategy, long-term gains can be achieved with little to no management on the part of the investor. The strategy of passive investing is heavily relevant to the study of money and capital markets, as it takes advantage of the concept of diversification and aims to match market performance rather than beat it. As the strategy of passive investing and indexing has become increasingly popular, it is important to ask: what are the implications of the shift to passive management for markets and price discovery?

It is very important to explore the implications of the shift towards passive investing because passive investing vehicles (such as ETFs and Mutual Funds) make up about one third of the entire U.S. market as well as a vast majority of retirement accounts (J.P. Morgan, 2024). Thus, passive investing and the shift towards it is an incredibly relevant topic of study because this strategy has a massive effect on the overall market and on nearly every individual who utilizes investing to prepare for retirement. Obviously, the shift towards passive investing is impactful and relevant for markets themselves and an enormous amount of individuals who participate in them.

This analysis utilizes the existing theory and frameworks regarding passive investing to provide a base for further analysis. Following the review of existing theory, we provide real-world data regarding passive investing and an analysis of this data. We then discuss our analysis and how it impacts investors and market participants before summarizing our overall findings.

## **2. Background and Theory**

Much research has already been done on the subject of passive investing since the strategy initially became popular in the 1980s and 1990s, meaning that there is already a huge body of knowledge to work with. Much of the existing research essentially states that the increasing focus in passive investing has indeed influenced markets by pulling many would-be active traders into a more passive strategy (Ryan, 2026). Essentially, prior research has found that passive strategies are consolidating many retail investors into passive vehicles, leaving a smaller share of overall investors to utilize active strategies. This makes sense when one considers that studies have also found that 90% of active fund managers underperform passive indexing strategies (Moltke & Sløk, 2024). Several studies, including one done by the Federal Reserve Board, also suggest that passive investing has slightly decreased overall market liquidity as a result of its large market share.

The main theoretical framework that passive investing/indexing utilizes is based upon Eugene Fama's efficient market hypothesis. This hypothesis basically suggests that markets are overall effective in processing available information, and thus individual investors can not consistently outperform the market by utilizing publicly available information (Logue, n.d.). Index investing takes action on this theory, effectively trying to buy pieces of the entire market in order to capitalize on the market's tendency to gradually increase over time rather than trying to outperform it. Although Fama's theory has been challenged in shorter time frames (due to irrationality in markets), it appears to be consistently true over longer time periods (Logue, n.d.). Passive investors also benefit from this fact, as they most often utilize this form of investing for long time frames, such as retirement planning or pension funds. In short, index investing utilizes

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Eugene Fama's efficient market hypothesis as foundation, and the popularity of passive investing is clearly much attributable to the efficient market hypothesis.

### **3. Analysis**

In order to assess the consequences of the transition to passively managed funds, the research relies on market data that is taken from the Federal Reserve Board and the Bank for International Settlements (BIS). This dataset encompasses a timeframe of approximately 2005 to 2023, using annual data collection intervals. Key Factors that will be looked into include market share of active vs passive US equities by Assets Under Management (AUM), liquidity measures, and return correlations across assets. In the last 20 years, there have been significant shifts in capital flows from active to passive investing, to the point that the market share of passive AUM surpassed active AUM.

**Table 1: Estimated U.S. Equity Fund Market Share Transition**

| <b>Year</b> | <b>Approximate Passive U.S. Equity Market Share (%)</b> | <b>Approximate Active U.S. Equity Market Share (%)</b> |
|-------------|---------------------------------------------------------|--------------------------------------------------------|
| 2005        | 15%                                                     | 85%                                                    |
| 2015        | 33%                                                     | 67%                                                    |
| 2023        | 53%                                                     | 47%                                                    |

This massive structural change makes the application of Efficient Market Hypothesis (EMH) challenging. EMH is based on the assumption that there are a number of rational

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investors who analyze information in order to make correct pricing decisions. However, as more passive players emerge in the market, who indiscriminately buy and sell securities based only on the presence of stocks in an index or their market value, the percentage of active participants responsible for the price discovery process gets smaller and smaller. The data shows how such dynamics affect market microstructure, revealing that a large amount of passive ownership causes more stock price movement because passive investment vehicles purchase all of the stocks within an index at once, regardless of the fundamentals of each firm in the index (Sushko & Turner, 2018).

Implications drawn from this information provide different viewpoints for both the investors and regulators. From the point of view of the individual investor, the phenomenon of the passive investor is good as it lowers cost drag and gives better returns compared to most active managers. On the other hand, researchers assess the potential threats that may emanate due to financial instability through the lens of systemic risk. One of such threats relates to liquidity risk, which suggests that a shock in the economy may trigger huge redemptions in large ETFs, resulting in the selling of the index stocks, thus increasing market volatility (Anadu et al., 2018). Another point that should not be overlooked is that due to the sheer size of passive indexing, corporate voting power now rests with the biggest asset management firms. This gives a few large corporations enormous power over the market. Overall, the data provided clearly indicates a trade-off between passive investing, which lowers costs for individual investors, and poses additional dangers to the stock market because of its huge scale.

### **4. Discussion**

Consequently, the results of the research analysis have important practical implications for individual investors as well as the entire financial system. The increase of passive investment

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management has had profound impacts on stock markets that go far beyond merely saving money, thus making it necessary to weigh various pros and cons of the trend.

In terms of the individual investor, the trend towards passive investment is, on the whole, a good thing. As the statistics show, most active fund managers do not perform better than the indices they are benchmarked against, which implies that most small-time investors will be better off investing in low-cost index funds rather than actively managed mutual funds. The negative impact that active fund management has on returns through expenses, such as management fees, transaction costs, and taxes, is offset by passive investment options. The cumulative effect over time for a long-term investor, like a person who is investing for retirement, will be significant.

The systemic implications associated with passive investment strategies have even greater negative connotations, though. Now that passive investment products make up the bulk of equity mutual fund assets under management, the process of price discovery in the market becomes evermore compromised. Price discovery, which involves incorporating new information into prices in the markets, hinges on active players whose job is to evaluate particular stocks and make trades based on fundamentals. With fewer and fewer active investors in the market, there are fewer people to carry out such an important task. Therefore, stock prices could start reflecting whether or not stocks belong to an index rather than their actual performance (Sushko & Turner, 2018). It may seem like the opposite to be true when the more you depend on markets functioning efficiently (as EMH posits), the less efficient the market becomes.

The issue of liquidity risk is yet another practical problem that arises from this discussion. As the size of ETFs becomes large enough, they will be forced to liquidate their positions at times of mass redemption, leading to cascading selling among all the stocks in the index at once, irrespective of whether each stock in itself deserves to be sold. According to

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Anadu et al. (2018), this process may lead to greater market instability when times become financially stressful, a situation that is likely given that an increasing proportion of retirement funds have become invested in passive management options.

The one consequence of the passive investment strategy that seems to be largely ignored is the accumulation of voting rights in corporations. As more money is invested in index funds run by a handful of asset management companies such as BlackRock, Vanguard, and State Street, these organizations end up gaining significant voting rights in virtually all major publicly held corporations. It is natural to ask whether these asset management organizations are motivated enough to cast votes on behalf of their shareholders, and whether owning stakes in rival organizations creates conflicts of interest for these asset management organizations.

For policymakers and regulators, however, the message is quite clear. It would be extremely difficult, if not impossible, to reverse the tide of passive investing, given the cost advantages and outperformance associated with passive investment strategies compared to active investment strategies. Instead of working to curb this development, policymakers and regulators would do better to try to ensure that the market structure can withstand the effects of passive vehicles becoming increasingly important. Some steps that might be taken in this regard could include ensuring that liquidity is adequately managed for large ETFs and that proper disclosures are made about systemic risks, as well as considering the governance consequences of such concentration. Furthermore, some amount of active investment in markets is necessary, as active investors play an essential role in the public good of market efficiency.

## **5. Conclusion**

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The findings from this analysis reveal the dramatic change that has taken place within financial markets following the rise of passive investment strategies. Passive investment vehicles have captured an increasing portion of the assets in U.S. equity markets over the past two decades, such that they now account for more than half of all assets under management.

The main argument of this paper is that although passive investment offers many advantages for individual investors, including reduced expenses, diversified portfolios, and potentially attractive rates of return, it can also pose dangers for the functioning of financial markets. One of the major threats is the possibility that the price discovery mechanism might be undermined. Since passive investment does not make use of fundamental analysis, there are fewer players involved in analyzing data and applying it to asset pricing. Consequently, market prices might no longer be reflective of economic fundamentals.

Apart from the problem of price discovery, it is worth mentioning that there is also an issue of greater systemic risk. Passive instruments of investment might cause market volatility in times of financial turbulence. In case of extensive redemption, such funds will be obliged to dispose of large amounts of investments at the same time, thereby contributing to more aggressive fall of prices and creating greater volatility for the whole market instead of individual stocks. This means that correlations between asset prices may grow because of passive investment.

Another important implication that needs to be considered is that of the increasing concentration of ownership and control in financial markets. There are just a few big firms involved in asset management that own large stakes in public companies by using passive investment vehicles. The problem with this is that there can be issues of corporate governance due to the concentrated ownership of these firms across competing companies.



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Nonetheless, based on this assessment, the recommendation would not be to discourage passive investing or reverse course. Rather, the expansion of passive investing is primarily attributed to sound decision-making on the part of investors along with significant economic benefits. What emerges from this study is an emphasis on achieving equilibrium between passive and active investments. Active investors are essential for market efficiency and cannot be omitted if passive investors have to remain viable.

In terms of policies, attention needs to be paid towards the issue of market resilience. The latter includes better liquidity measures for big mutual funds, increased transparency of capital flows, as well as close monitoring of the issue of concentrated ownership and voting powers within big asset managers. It is important to have stability and efficiency of markets despite structural changes.

In conclusion, passive investing serves as a double-edged sword within today's financial markets. Although passive investment has brought immense benefits to individual investors, there needs to be a regulatory mechanism in place to avoid possible negative impacts on market efficiency and performance as the scope of the practice widens.

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